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Japan FX

Capitulation of JPY carry: Only the beginning of the end

CITI'S TAKE

This USDJPY decline (position adjustment of JPY carry) has come earlier than in past cases and the adjustment is getting deeper. Given the broad interest rate differential and flow environment the pair could bounce to the 200-day moving average (currently around ¥151.5/$) and then the 100-day moving average (currently around ¥155.5/$), once it has bottomed in this cycle. However, JPY carry positions that have piled up in the last few years seem to be quite large, so we see the present adjustment as only the beginning of the end for these carry trades. We look for the USDJPY to decline below ¥140/$ in 2025, ¥130/$ in 2026, and ¥120/$ in 2027.

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Capitulation of JPY carry

A sudden drop in the USDJPY due to the unwinding of JPY carry is a risk we have noted recently, but it has come earlier than we thought and the adjustment is getting deeper. In our BoJ meeting review last week we suggested the downside scope below the 200-day moving average (currently around ¥151.5/$) would be limited with the USDJPY. In fact, the pair has gone below even the 350-day moving average (currently around ¥145.5/$) that had functioned as a medium-term support line since last year (Figure 1).

Last week the BoJ decided on an additional rate hike to 0.25% while suggesting a more hawkish stance than previously. On the US side, markets have become more confident with the Fed will begin monetary easing at the September FOMC meeting due to weakness in employment data. That being said, the US-Japan short-term interest rate differential has not narrowed to less than 5% yet, and the three-month carry/volatility ratio has just fallen below 50%. In the past, major trend conversions have occurred when the ratio declined at least below 40% (Figure 2).

Figure 1. USD/JPY and major moving averages

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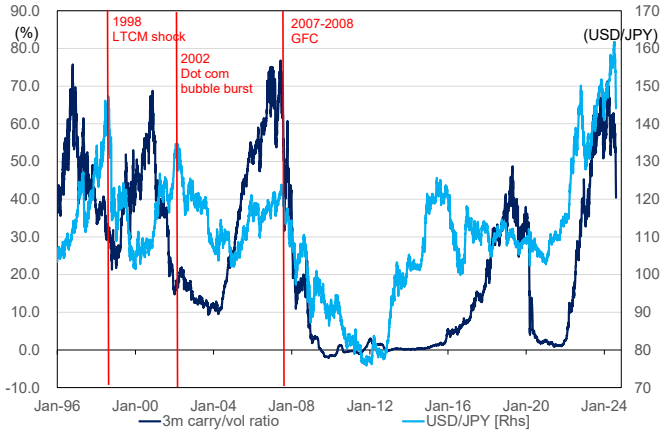
Figure 2. USD/JPY and three-month carry/vol ratio



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Impact of Japan's JPY-buying interventions

This means that both the interest rate differential and carry/volatility ratio have not fulfilled the conditions seen in the past that would trigger unwinding of JPY carry. Under these circumstances, we suspect the tipping point has been brought forward by JPY-buying interventions by the Japanese government since 2022.

Many economists and strategists are saying interventions have not been effective, but we have pointed repeatedly to the possibility that the cumulative effect of the Japanese government's JPY-buying interventions could improve supply/demand for the Japanese currency and promote the currency recovery over time. The current rapid fall in the USDJPY and JPY crosses implies that this is being realized.

Likely USDJPY scenario

The USDJPY has fallen ¥20 from its peak registered last month, and we think speculative JPY carry positions that were established over the last few months have been unwound already (although cumulative positions may remain large). Foreign investments by retail investors via NISA remain high, while demand to buy

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the USD at Japanese SMEs to rebuild their long-term option hedges remains active (Figure 3). In addition, with several large cross-border M&A deals having been announced by Japanese companies since last December we could see JPY sales over the next several months.

Under this flow environment we remain wary of the risk that the USDJPY could bounce unexpectedly sharply once it has found a bottom given the present wide interest rate differential. In the near term, we think the focus will be recovery to the 350-day moving average (currently around ¥147.5/$) for the USDJPY, but the level we are keeping an eye on is the 200-day moving average (currently around ¥151.5/$) in the coming weeks, and then the 100-day moving average (currently around ¥155.5/$) over the next few months (Figure 1).

Figure 3. NISA investment, top five investment funds: Net inflow (change from previous day)

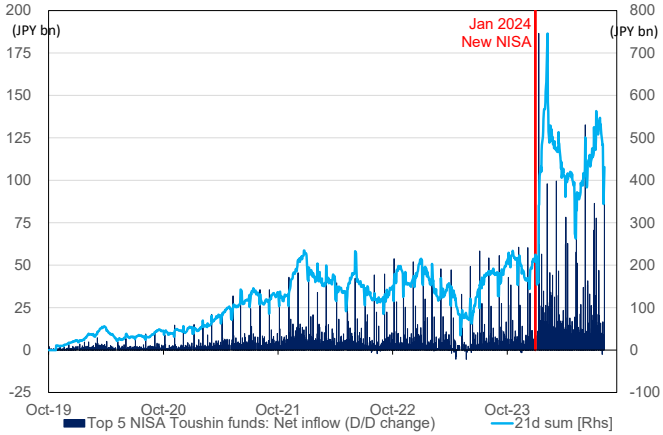

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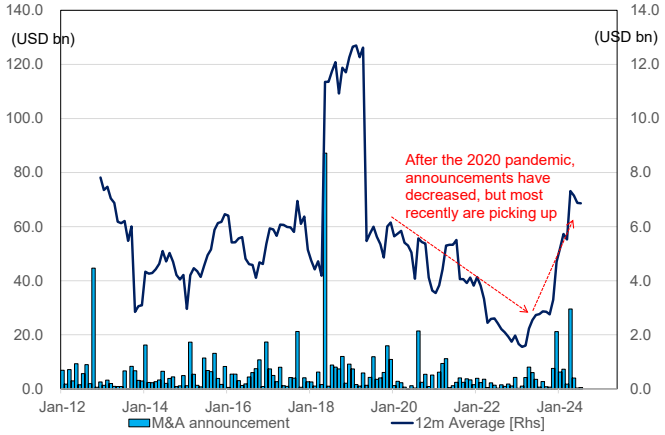
Figure 4. Cross-border M&A announcements by Japanese companies



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Beginning of the end

Even so, we believe JPY carry positions that have accumulated during the past few years are quite large not only at leveraged investors but also at long-term investors (real money) and corporates (Figure 5). We still believe the medium- to long-term risk remains tilted to USDJPY downside and that the current adjustment is only the beginning of the end. Our USDJPY forecast is ¥145/$ for 2025, ¥129/$ for 2026, and ¥116/$ for 2027.

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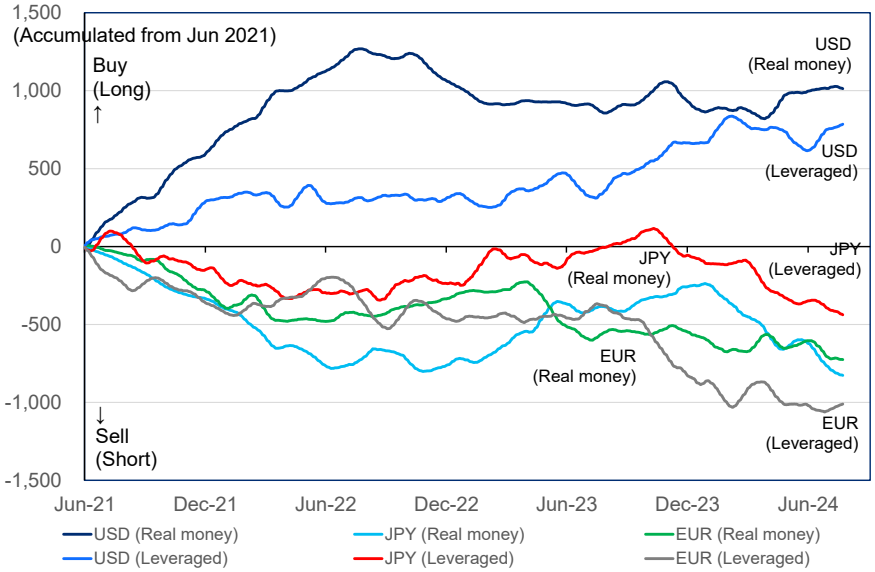
Figure 5. CitiFX Position Index (USD, EUR, JPY)



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Note: Cumulative since June 2021.

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